

Calendar Line 3

Case Name: Perez v. Best Overnight Express, Inc. (Class Action)
Case No.: 22CV393492

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and Private Attorneys General Act (“PAGA”) action arising out of various alleged wage and hour violations. On January 20, 2022, plaintiff Baltazar Perez (“Plaintiff”) began this action by filing a class action complaint against defendant Best Overnight Express, Inc. (“Defendant”). On April 12, 2022, Plaintiff filed the operative first amended class action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum wages; (2) failure to reimburse business expenses; (3) failure to provide accurate itemized wage statements; (4) failure to pay all wages due upon separation of employment; (5) violation of Business and Professions Code section 17200 *et seq.*; and (6) enforcement of Labor Code section 2698, *et seq.* (the Private Attorneys General Act [“PAGA”]).

On July 26, 2024, the court issued an order granting Plaintiff’s unopposed motion for preliminary approval of the settlement and setting a final approval hearing for January 22, 2025. On December 6, 2024, the court issued an order on the parties stipulation, continuing the final approval hearing to March 26, 2025. Now before the court is Plaintiff’s motion for final approval of the settlement, and the motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and

whether the attorney fee award was proper are matters addressed to the trial court's broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However “a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.”

(*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (s)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court's review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under

PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.____, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. TERMS AND ADMINISTRATION OF SETTLEMENT

This case has been settled on behalf of the following class:

[a]ll California residents currently or formerly employed by Defendant as a non-exempt employee in the State of California at any time during the Class Period [from June 15, 2019 through June 15, 2023].

The class includes a subset of PAGA Members who are identified as all California residents currently or formerly employed by Defendant as a non-exempt employee in the State of California at any time during the PAGA Period [from June 15, 2020 through June 15, 2023].

According to the terms of the settlement, Defendant will pay a gross, non-reversionary amount of \$450,000. The gross settlement payment includes attorney fees not to exceed one-third of the gross settlement amount (currently estimated at \$150,000), litigation costs up to \$25,000, an incentive award up to \$15,000 for the class representative, settlement administration costs up to \$10,650, and PAGA allocation of \$40,000 (75 percent of which will be paid to the Labor and Workforce Development Agency (“LWDA”) and 25 percent of which will be available for PAGA Members). Amounts not approved for use as an incentive award, attorney’s fees, litigation costs, and settlement administration costs will revert to the net settlement amount. Plaintiff submitted a copy of the proposed settlement to the LWDA.

The net settlement amount will be distributed to the participating Class Members on a pro rata basis based on the number of workweeks worked. Similarly, the individual PAGA payments will be distributed to PAGA Members based on their number of applicable pay periods worked. Funds from checks that remain uncashed 180 days after issuance will be sent to the *cy pres* chosen by the parties: St. Jude Children’s Research Hospital. The court approves the *cy pres* recipient.

In exchange for the settlement, the class members agree to release the Defendant and related entities and persons from all claims that were alleged, or reasonably could have been alleged, based on the facts pleaded in the FAC occurring during the Class Period. PAGA Members will be deemed to release Defendant and related entities and persons “from all claims for PAGA penalties that were alleged, or reasonably could have alleged, based on the PAGA Period facts stated in the Operative Complaint and the PAGA Period facts stated in the PAGA Notice that are pled in the Operative Complaint. The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

In its order granting preliminary approval of the settlement, the court approved and appointed ILYM Group, Inc. (“ILYM”) as the neutral entity to administer the settlement. On November 20, 2024, ILYM received the class data file from defense counsel, containing the name and information of the 387 individuals on the class list. (Declaration of Cassandra Polites

on behalf of ILYM (“Polites Decl.”), ¶ 5.) On December 4, 2024, ILYM caused the class notice packet to be mailed to all 387 individuals contained on the class list. (*Id.* at ¶ 7.) ILYM ultimately deemed six notice packets to be undeliverable despite skip tracing efforts. (*Id.* at ¶¶ 8-10.) The deadline to request exclusion, submit a written objection, or submit a workweek dispute was February 3, 2025. As of the date of the Ms. Polites’s declaration, February 7, 2025, ILYM has not received any requests for exclusion, written objections, or workweek disputes. (*Id.* at ¶¶ 11-13.) ILYM estimates that the average individual settlement payment will be approximately \$566.80. (*Id.* at ¶ 16.) The notice process has now been completed.

At preliminary approval, the court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the court finds that the settlement is fair and reasonable for purposes of final approval.

IV. SERVICE AWARD, ATTORNEY FEES AND COSTS

Plaintiff requests enhancement awards in the amount of \$15,000. (Motion, pp. 11:23-13:3.)

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff Perez has filed a declaration describing his participation in this action. (Declaration of Baltazar Perez in support of motion for final approval, ¶¶ 4-13.) Plaintiff’s work on this case had included communicating with his attorneys, gathering documents,

assisting with discovery responses, and preparing for mediation. (*Id.* at ¶¶ 4-7.) Plaintiff has also undertaken risk by becoming involved in this action as a class representative while understanding that doing so could affect his future job opportunities. (*Id.* at ¶¶ 8-11.) Plaintiff estimates that he has spent approximately 40 hours working on this action. (*Id.* at ¶ 13.)

Based on its review of the information provided, the court finds that a service award is appropriate, but the amount requested is more than the court normally awards in similar circumstances. Accordingly, the court approves a service to Plaintiff in the amount of \$10,000.

The court has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) “Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.” (*Wershba, supra*, 91 Cal.App.4th at p. 254.)

Class counsel seeks an attorney fee award of \$150,000 (one-third of the gross settlement amount). (Motion, pp. 8:4-11:12.) Counsel presents evidence of a current lodestar of \$152,830 based on a total of 219.4 hours billed at rates ranging from \$450 per hour to \$950 per hour. (Declaration of Julia M. Toscano in support of motion for final approval (“Toscano Decl.”), ¶ 30.) This results in a negative multiplier, which supports the court’s finding that the fee request is reasonable. (See *Wershba, supra*, 91 Cal.App.4th at p. 255 “[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases].)

The benefits achieved by the settlement justify an award of attorney fees to class counsel. The court finds that the requested attorney fee award is reasonable as a percentage of the common fund and approves an attorney fee award in the requested amount of \$150,000.

Class counsel requests reimbursement of litigation costs in the amount of \$16,387.92 and presents itemized list of costs incurred in that amount. (Motion, p. 11:13-22; Toscano Decl., ¶ 32 and Ex. 3.) This is less than the \$25,000 provided for in the settlement. Accordingly, the court approves reimbursement of litigation costs in the amount of \$16,387.92.

The settlement administration costs are also approved in the requested amount of \$10,650.00, which is the maximum set per the settlement. (See Polites Decl., ¶ 19.)

V. CONCLUSION

The motion for final approval of class and representative action settlement is GRANTED. The class as defined herein is certified for settlement purposes. Judgment shall be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Pursuant to rule 3.769(h) of the California Rules of Court, the Court retains jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **November 19, 2025 at 2:30 p.m.** in Department 19. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted to the *cy pres* recipient; the status of any unresolved issues; and any other matters appropriate to bring to the court's attention.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: Long v. Juniper Networks (US), Inc. (Class Action/PAGA)
Case No.: 22CV396462

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class, representative, and collective action arising from alleged wage and hour violations brought by Plaintiffs Jamie Long and Marcus Serrano (collectively, “Plaintiffs”) against Defendant Juniper Networks (US), Inc. (“Defendant”).

On February 24, 2022, Plaintiff Long commenced an action against Defendant in the United States District Court, Northern District of California (*Long v. Juniper Networks (US) Inc.*, N.D. Cal., 2022, Case No. 5:22-cv-01158-BLF0) alleging wage and hour violations under the Fair Labor Standards Act (“FLSA”).

On April 6, 2022, Long initiated this action by filing a class action complaint against Defendant, asserting various claims arising from alleged violations of the California Labor Code. On December 20, 2023, Plaintiffs filed the operative first amended class action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to provide rest breaks; (5) failure to pay wages upon separation of employment and within the required time; (6) failure to furnish accurate and itemized wage statements; (7) failure to reimburse all business expenses; (8) failure to produce all employment records; (9) violation of Business and Professions Code section 17200, *et seq.*; (10) enforcement of Labor Code section 2698, *et seq.* [the Private Attorneys General Act (“PAGA”)]; and (11) violations of the FLSA.

The parties have reached a settlement. On March 26, 2024, Plaintiffs filed a motion for preliminary approval of the settlement. At the hearing on July 24, 2024, the court denied the motion without prejudice. (July 24, 2024 Minute Order, pp. 7-8.) The court explained that it